



YASHIKA BALI

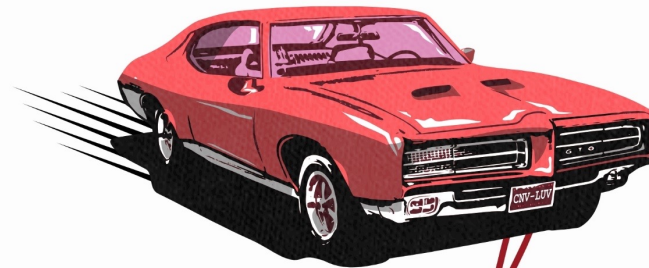


CLEOPHAS MOISES FERNANDES



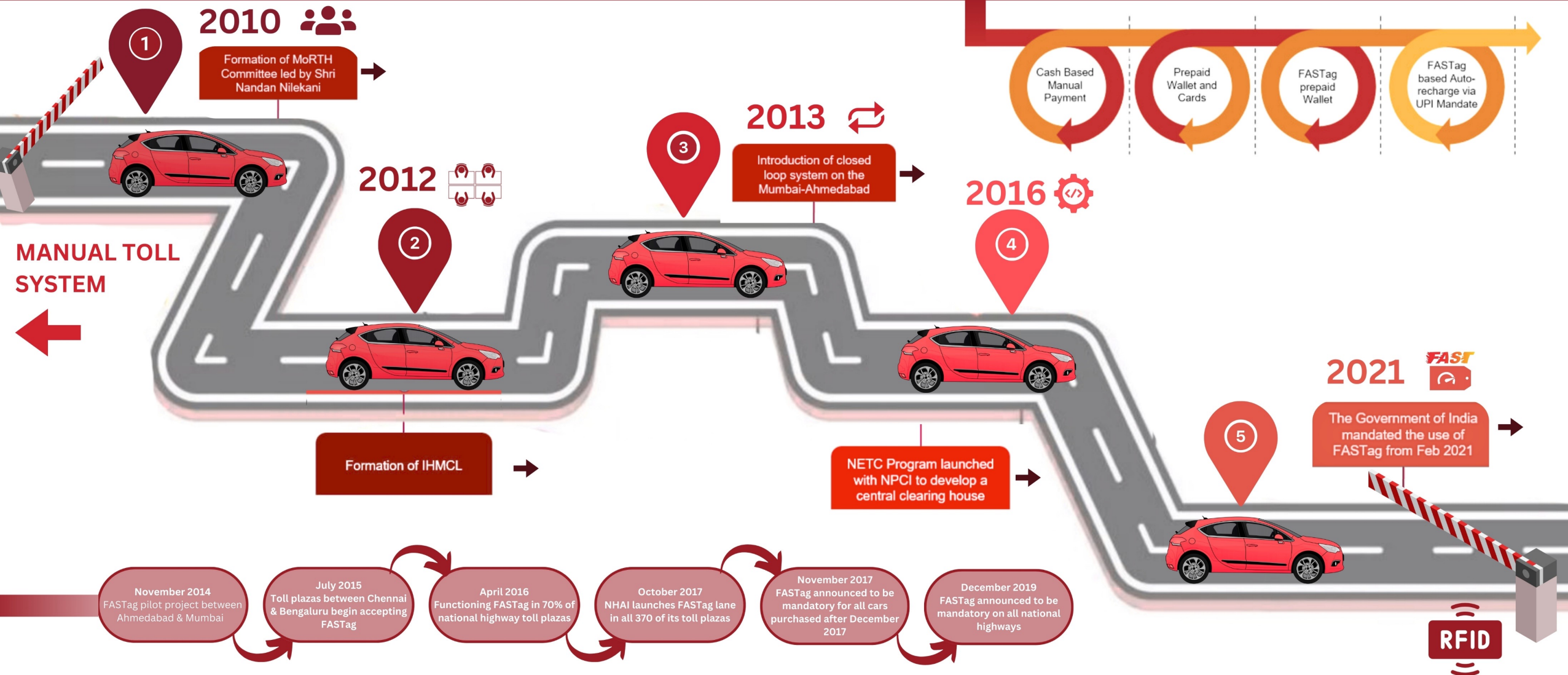
RAHUL SEBASTIAN ABRAHAM

TEAM PROFIT MAVERICKS



FAME 4.0 OPEN INNOVATION CHALLENGE TRACK 2: BUSINESS EXCELLENCE ELEVATOR PITCH SUBMISSION

TIMELINE





INTRODUCTION



FASTag utilizes RFID technology to facilitate cashless toll payments, allowing vehicles to pass through toll plazas without stopping. IDFC FIRST Bank provides this service at 672 toll plazas, with over 19 million FASTags issued. While commercial vehicles are the primary users, passenger vehicles have lower adoption rates, leading to higher costs.



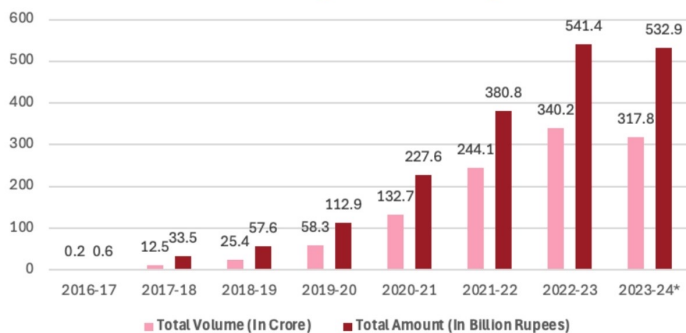
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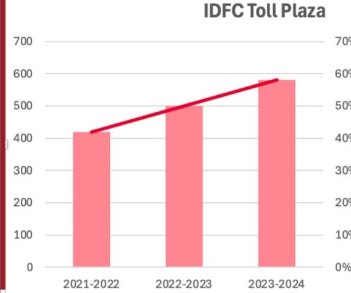
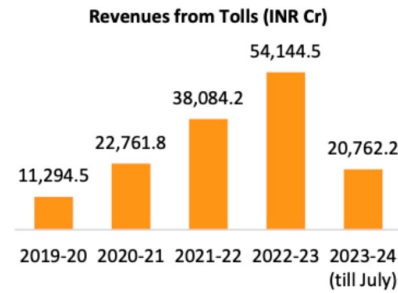
Customer Care
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Year-wise growth in FASTag



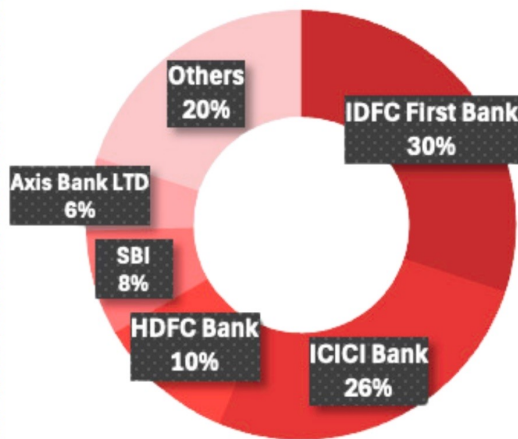
REVENUE FROM TOLLS IN INDIA



Toll revenues peaked at INR 54,144 crore in 2021-22, then dropped to INR 20,762 crore in 2023-24 (till July). IDFC toll plaza usage and share steadily grew, with 420 plazas (42%) acquired in 2021-22, rising to 580 plazas (58%) in 2023-24.



MARKET SHARE



FIRST FORWARD FASTAG BENEFITS for Passenger Vehicles



Pay for fuel & get discounts at HPCL petrol pumps



Link your IDFC FIRST Bank Credit card with FASTag for Auto recharge



Pay for parking at select places only



Contact-less Toll & Fuel Payment



Avail monthly passes with auto-renewal option at toll plaza/ NHAI website



Single statement with fuel & toll statement

IDFC FIRST BANK FAST TAG



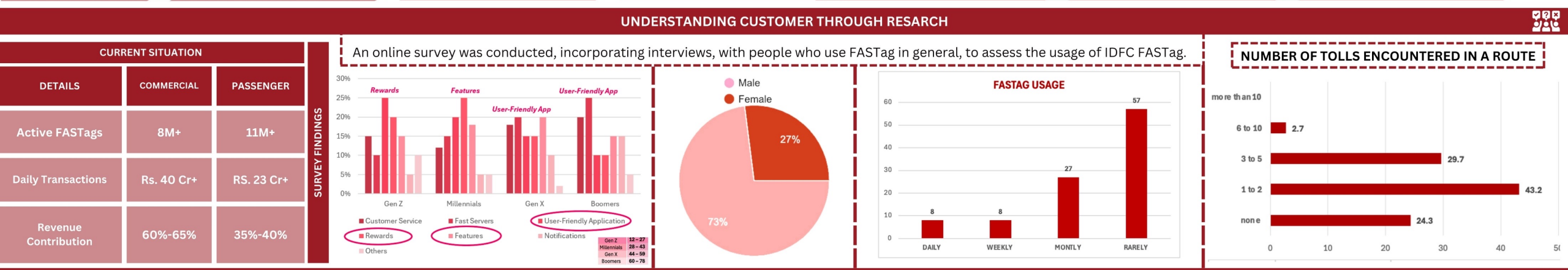
Charges Applicable on FASTag

Particulars	Amt (INR)
FASTag Joining Fee	₹100 (Inclusive of GST)
FASTag Replacement Fee	₹100 (Inclusive of GST)
FASTag Max Yearly Subscription Fee (Optional)	₹300 (Inclusive of GST)

IDFC First Bank
Fast tag issued till
March 2024

19Mn+

Vehicle Description	Tag Class	Security Deposit (₹)	Minimum Balance (₹)
Car/Jeep/Van/Mini Light Commercial Vehicle	4	0	150*
Light Commercial Vehicle	5	0	400
Bus/Truck (3 axle)	6	0	600
Bus/Truck (2 axle)	7	0	600
Truck (4 to 6 axle)/Tractor/Tractor with Trailer	12	0	700
Truck (7 or more Axle)	15	0	800
Heavy Construction Machinery	16	0	800

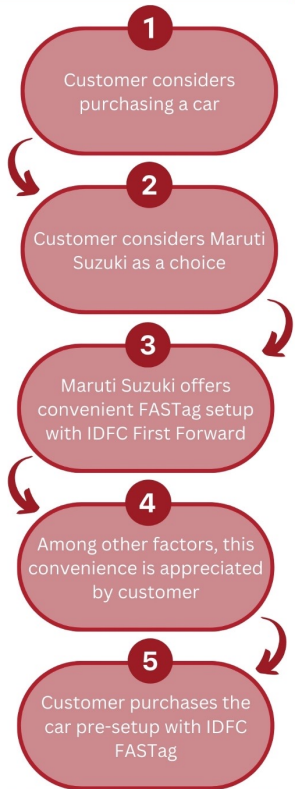
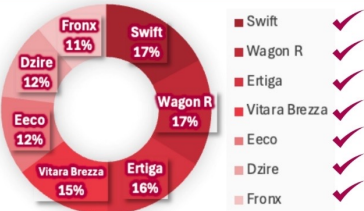


PARTNERSHIP WITH MARUTI SUZUKI



COLLABORATION PLAN

To increase the marketshare for IDFC's FASTag, we propose partnering with Maruti Suzuki. The plan is to allow customers to set-up their FASTag within the Maruti Suzuki store, as soon as they complete their car purchase, allowing for a convenient and hassle-free FASTag set-up process.

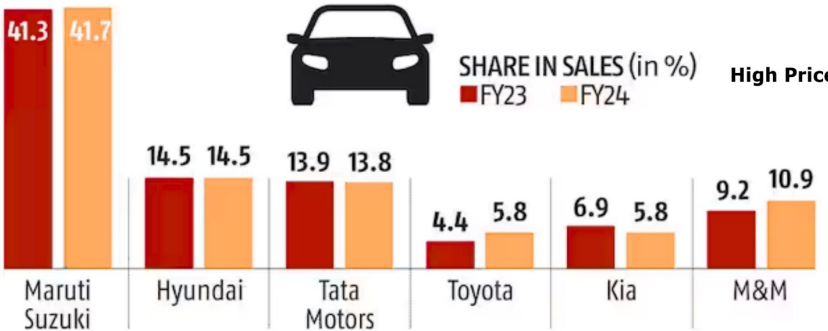


TIERED PLAN	ECONOMY PLAN (For cars like Wagon-R)	STANDARD PLAN (For cars like Swift Dzire)	PREMIUM PLAN (For cars like Ertiga)
TARGET CUSTOMER	Budget-conscious drivers who use toll roads occasionally.	Regular commuters who value convenience and moderate savings	Frequent travelers and premium vehicle owners seeking high-value benefits and exceptional service.
BENEFITS	Free Tag Issue (one time) + Discount on recharge + Delivery	Economy Plan Benefits + Car breakdown services + fuel refill	Standard Plan Benefits + ₹500 toll credit if balance runs out, with interest charges if not repaid on time.
PRICING	Rs. 350 per month	Rs. 550 per month	Rs. 700 per month

WHY MARUTI SUZUKI?

Maruti Suzuki has the highest market share in India when it comes to passenger vehicles. Considering this fact, it would be optimal to partner with India's leading passenger vehicle brand to promote IDFC First Bank's FASTag service.

HOW TOP SIX DOMESTIC BRANDS FARE



Brands	Units Sold from January to September 2023	Market Share as of September '23
Maruti Suzuki	15,65,012	41.60%
Hyundai Motor Company	5,74,807	14.90%
Tata Motors	7,21,091	2.30%
Mahindra & Mahindra	5,87,443	11.40%

BENEFIT FOR EACH OTHER



Maruti benefits because customers have an added incentive to purchase their cars

IDFC Bank also will gain a huge chunk in FASTag market share thanks to Maruti's large fleet of passenger vehicles

EXPECTED IMPACT



Maruti can earn from IDFC First Bank through FASTag commissions, ad placements, and offering toll-related services or accessory deals, generating new revenue stream, boosting overall sales and profits.

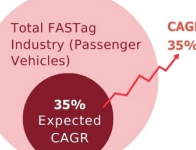
It will allow IDFC First Bank to tap into Maruti Suzuki's extensive customer base, significantly expanding its FASTag usage

LONG-TERM SUSTAINABILITY



Most users tend to replace their vehicles every 5 years. As they upgrade to new or second-hand cars, particularly from platforms like CarDekho or Spinny, there's a high likelihood they'll choose Maruti Suzuki's top-selling models

TARGET



MULTIPLE REWARD SYSTEMS

Implement multiple reward systems for users of IDFC First FASTag to motivate them to continue using the app for FASTag recharge payments

FREQUENCY-BASED SYSTEM

Implement a "FASTag Frequency Rewards Program" where users are rewarded based on the number of tolls they pass through each month, rather than just the distance traveled. The more tolls a user passes through, the higher their rewards.

Toll Frequency Tracking

Heavy User	Moderate User	Light User
GOLD 15+ tolls in a month	SILVER 10+ tolls in a month	BRONZE 5+ tolls in a month

Toll Passing Frequency

Simple and easy way to apply your vehicle FASTag

Apply Now

ACTUAL REWARDS OFFERED

Both reward systems use a medal collection system that can be spent on common rewards

FUEL CASHBACK

Reward users with fuel cashback based on their medal status for the two reward systems. Higher cashback for higher medals.

TOLL DISCOUNTS

Reward users with toll discounts based on their medal status for the two reward systems. Higher discounts for higher medals.

GOODWILL OFFERS

Users can also choose to donate their rewards to social causes, such as funding highway clean-up projects or supporting community initiatives.

MEDAL ACCUMULATION

Users can also accumulate their medals and spend them on lucky draws for rewards such as holiday packages, brand new cars, etc.

TIME-BASED SYSTEM

Implement a "FASTag Time-Based Travel Rewards Program" that rewards users based on the duration and timing of their toll-based travel. The program encourages users to travel during specific time frames, offering fuel cashback and other benefits for traveling during designated hours or for spending more time on the road.

Time-Based Tracking

Off-Peak	Moderate	Peak
GOLD 10PM to 6AM	SILVER 7AM to 9AM	BRONZE 5PM to 7PM

PEAK HOURS

Simple and easy way to apply your vehicle FASTag

Apply Now

EXPECTED IMPACT

The medals earned through the reward systems will not only incentivize people to continue using IDFC First FASTag, but also visit more toll plazas (or routes with more toll plazas). This will obviously increase revenue for IDFC by more transactions through the app, and more time spent on it.

FORCASTED GROWTH

Engagement with IDFC FASTag >5X More

Time Spent on app >2X More

Rewards offered >2X More

Revenue Rise >2.7X Likely

UNIQUE ASPECTS

1) Gamifying the experience with tangible rewards can boost FASTag adoption and usage.

2) Focusing on toll frequency, not just distance, appeals to users who pass multiple tolls on shorter trips.

3) Offering fuel cashback and time-based benefits incentivizes frequent FASTag use while helping manage traffic and reduce peak-hour congestion. it.

UPFRONT LUMP-SUM PAYMENT

ISSUE WITH PERIODIC PAYMENTS

Customers who complete their FASTag payments on a periodic basis may feel disappointed that they have to continue making these payments. It's all about perception. They are constantly reminded that money is going out of their bank account. To combat this, we suggest a one time payment upfront.

MONETARY BENEFIT TO IDFC BANK

Since IDFC is getting an upfront large payment, because of the concept of time value of money, it is more beneficial for IDFC Bank. Instead of small payments over the course of a year, IDFC can immediately invest the lump sum in a fixed return scheme and earn interest on the amount.

PERIODIC PAYMENTS

Customer gets notified about FASTag recharge payment

Customer gets annoyed about money going out of the bank

Customers may begin to complain about constant payments

Customers will switch to other Bank's payment systems

IDFC loses its customer base

VS

LUMP-SUM PAYMENT

Customer is asked to pay upfront lump sum

Customer worries about large sum, but agrees to pay

No more payment notifications bother the customer

Customer stops worrying about FASTag payments

Customer sticks with IDFC for FASTag payment

LUMP-SUM PAYMENT

Assuming a discount rate of 10% annually, if IDFC collects Rs. 350 over the course of 12 months, the Present Value of future cashflows would be:

Month	1	2	3	4	5	6	7	8	9	10	11	12	Total PV
Cash Flow	350	350	350	350	350	350	350	350	350	350	350	350	
PV of CFs	347.1189	344.2615	341.4277	338.6172	335.8298	333.0653	330.3237	327.6045	324.9078	322.2333	319.5807	316.9501	3981.921

Instead of Rs. 350 per month, customer will pay Rs. 4000 at the start of the year

IDFC Bank can invest this Rs. 4000 in a fixed return scheme to earn interest on the money

The Rs. 4000 will be more beneficial for IDFC - earned interest can be used for development

Additionally, most customers would believe Rs. 4000 upfront is better than Rs. 4200 (Rs.350 x 12 months)

Value

Rs.4000

Rs. 0

Time

Money value decreases as time increases

Present value of money

Future value of money

It could be invested when in hand for better retrun in future

The same amount is subjected to uncertainties and loses value in future

PARTNERSHIP WITH MARUTI SUZUKI



How financially feasible is this solution?

COST CONSIDERATIONS



- Implementation Costs such as hardware (RFID tags), software, training
- Customer Acquisition Costs (CAC) to incentivize Maruti dealers to partner up with IDFC
- Partnership fee to Maruti Suzuki to partner up with the brand overall

REVENUE STREAMS



- Upfront fee for new FASTag issuance by IDFC First FASTag
- Cross-selling other IDFC products and services to Maruti customers such as car loans

BREAK-EVEN ANALYSIS



ASSUMPTIONS	Cost of Issuing 1 FASTag	Rs. 100	BREAK-EVEN = Total Set-up Cost / Revenue from one FASTag per year = 10,000,000/1500 = 6667 FASTags issued
	Revenue per FASTag	Rs. 25	
	Revenue if a car passes 5 tolls in a month	Rs. 1500 Annually (25*5*12)	
	Set-up Cost	Rs. 10,000,000	

MULTIPLE REWARD SYSTEMS



How financially feasible is this solution?

COST CONSIDERATIONS



- System development costs for backend and frontend aspects of app, including toll tracker
- Rewards payout costs for fuel cashback, toll discounts, goodwill offers, and accumulated rewards
- Marketing campaign costs to increase awareness of new rewards system to enroll more users

REVENUE STREAMS



- Expected increased transaction volume through FASTag payments via IDFC First FASTag app
- Monetization from collected data regarding toll plaza visits

BREAK-EVEN ANALYSIS

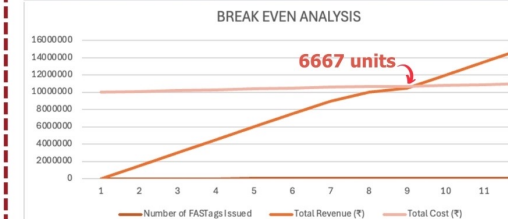


ASSUMPTIONS	Increased Toll Transactions	15-20%	BREAK-EVEN = Total Set-up Cost / Incremental Revenue per user = 100,000,000/150 = 666667 additional transactions
	Increase in toll revenue	Rs. 150 (6*25)	
	Increased Revenue with 500,000 userbase	Rs. 900 Mil Annually (500,000*150*12)	
	Set-up Cost	Rs. 100,000,000	

BREAK EVEN ANALYSIS



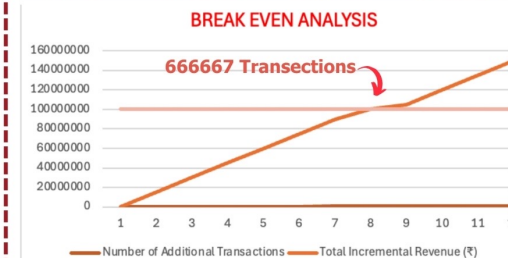
Number of FASTags Issued	Total Revenue (₹)	Total Cost (₹)	Profit (₹)
0	0	1,00,00,000	-1,00,00,000
1000	15,00,000	1,01,00,000	-86,00,000
2000	30,00,000	1,02,00,000	-72,00,000
3000	45,00,000	1,03,00,000	-58,00,000
4000	60,00,000	1,04,00,000	-44,00,000
5000	75,00,000	1,05,00,000	-30,00,000
6000	90,00,000	1,06,00,000	-16,00,000
6667	1,00,00,000	1,06,66,700	0
7000	1,05,00,000	1,07,00,000	5,00,000
8000	1,20,00,000	1,08,00,000	12,00,000
9000	1,35,00,000	1,09,00,000	26,00,000
10,000	1,50,00,000	1,10,00,000	40,00,000



MARUTI

The break-even analysis reveals and highlights efficient cost recovery through FASTag issuance, requiring 6,667 units for financial sustainability and profitability

Number of Additional Transactions	Total Incremental Revenue (₹)	Total Cost (₹)	Profit (₹)
0	0	10,00,00,000	-10,00,00,000
1,00,000	1,50,00,000	10,00,00,000	-8,50,00,000
2,00,000	3,00,00,000	10,00,00,000	-7,00,00,000
3,00,000	4,50,00,000	10,00,00,000	-5,50,00,000
4,00,000	6,00,00,000	10,00,00,000	-4,00,00,000
5,00,000	7,50,00,000	10,00,00,000	-2,50,00,000
6,00,000	9,00,00,000	10,00,00,000	-1,00,00,000
6,66,667	10,00,00,000	10,00,00,000	0
7,00,000	10,50,00,000	10,00,00,000	50,00,000
8,00,000	12,00,00,000	10,00,00,000	2,00,00,000
9,00,000	13,50,00,000	10,00,00,000	3,50,00,000
10,00,000	15,00,00,000	10,00,00,000	5,00,00,000



REWARDS

The break-even analysis highlights increased toll transactions, requiring 666,667 additional transactions to cover the ₹100 million setup cost.

TEAM DETAILS		EVOLUTION OF FASTAG		OVERVIEW		CUSTOMER ANALYSIS		SOLUTIONS		FINANCIAL FEASIBILITY		IMPLEMENTING TIMELINE	
PROJECT IMPLEMENTATION TIMELINE ESTIMATE	ACTIONS					Month 1-2	Month 3	Month 4-5	Month 6	LONG-TERM IMPACT			
	Market Research & Customer Surveys					✓				↑ INCREASE IN FASTAG USAGE The rewards program, coupled with lump-sum payment options, will encourage regular toll users to adopt IDFC FASTag for long-term savings.			
	Partnership Negotiations (Maruti Suzuki)					✓							
	Rewards Program Design (Cashback, Fuel, etc.)					✓	✓			🔄👤 CUSTOMER RETENTION The collaboration with car manufacturers will help IDFC acquire new customers while offering existing users exclusive benefits, promoting brand loyalty.			
	Lump-Sum Payment Plan Design					✓	✓						
	Partners Onboarding (Fuel Stations, Retailers)					✓	✓			💰📈 REVENUE BOOSTS Lump-sum payments and premium rewards programs will generate additional revenue through prepaid tolls and associated banking products.			
	UI/UX Development for Rewards Program					✓	✓						
	Lump Sum Cashback Feature Development					✓	✓			🤝 SUSTAINABLE PARTNERSHIPS Partnerships can expand to include service providers like fuel stations, offering discounts for FASTag users, thereby creating an ecosystem around vehicle travel.			
	Frontend and Backend Integration (Rewards and Partnerships)						✓	✓					
	Beta Testing (QA, Sanity, UAT for Lump Sum & Rewards)						✓	✓		🗣️ STAKEHOLDERS COLLABORATION 👥 Product Development will collaborate with the Partnerships Team to ensure features align with customer needs and partner requirements. 💻 UI/UX, Frontend, and Backend Developers need to work closely to deliver a cohesive experience for users. 👤 Business Analysts will continuously provide insights to guide feature refinement based on customer behavior ⚖️ Legal and Compliance ensures smooth operation and adherence to all regulations.			
	Beta Launch (Rewards, Cashback, Partnership Features)							✓	✓				
	Deploy & Release (Phased Release)							✓	✓				
	Partnership Rollout with Car Manufacturer (Maruti Suzuki)							✓	✓	👥 STAKEHOLDERS TO CONSULT 👥 PRODUCT DEVELOPMENT TEAM 👥 APP DESIGN TEAM & DEVELOPERS 👥 CUSTOMER RELATIONS MANAGER 👥 MARUTI MANUFACTURERS & DEALERS 👥 LEGAL & COMPLIANCE TEAM 👥 BUSINESS ANALYSTS			
Continuous Feedback, Product Support & Upgrades							✓	✓					
✓ We estimate that all the proposed solutions can be carried out and finally implemented within 6 months, without too much delay						Started & Completed in same month	Started in this month	Completed in this month					
GO-TO MARKET STRATEGIES	TARGETED PROMOTIONS		PARTNERSHIP DRIVEN MARKETING		REWARDS & CASHBACK CAMPAIGN		LUMP-SUM PAYMENT AWARENESS		CONTINUOUS ITERATION				
	1		2		3		4		5				
	Advertise the rewards and lump-sum payment plans via social media, car dealerships, and toll plazas to reach frequent travelers and new car owners		Collaborate with Maruti Suzuki, Hyundai, and other leading car brands to market the FASTag directly to their customer base. Provide exclusive discounts for customers who sign up for IDFC FASTag at the time of car purchase		Promote the "FASTag Frequency Rewards" program, offering users cashback or fuel points based on the number of tolls crossed monthly		Launch campaigns to educate frequent travelers on the benefits of lump-sum payment options, emphasizing convenience and long-term savings		Collect and analyze user feedback to make iterative improvements to the rewards system, lump-sum payments, and partnership collaborations				
TEAM PROFIT MAVERICKS												IDFC FIRST Bank	